



Hypothetical Acquisition of Cognex

Rockwell Automation

M&A valuation and transaction analysis

Independent portfolio project | August 2026

Hypothetical and educational only - not affiliated with either company

The \$80 offer is financially demanding

\$80.00

Offer price / share

33.9%

Premium to unaffected

\$12.7bn

Transaction EV

(3.7%)

FY2030 adjusted dilution

58.9%

Breakeven synergy
coverage

Recommendation

- Cognex adds machine vision, barcode identification, and image-analysis capabilities to Rockwell's automation portfolio.
- The offer materially exceeds most standalone valuation indications and implies 38.4x FY2026E EBITDA.
- Bottom-up synergies improve the transaction but do not eliminate adjusted EPS dilution.
- Proceed only with stronger diligence support, a lower price, or explicit acceptance of near-term dilution for long-term strategic value.

Cognex could deepen Rockwell's visual-data capabilities

Strategic opportunity

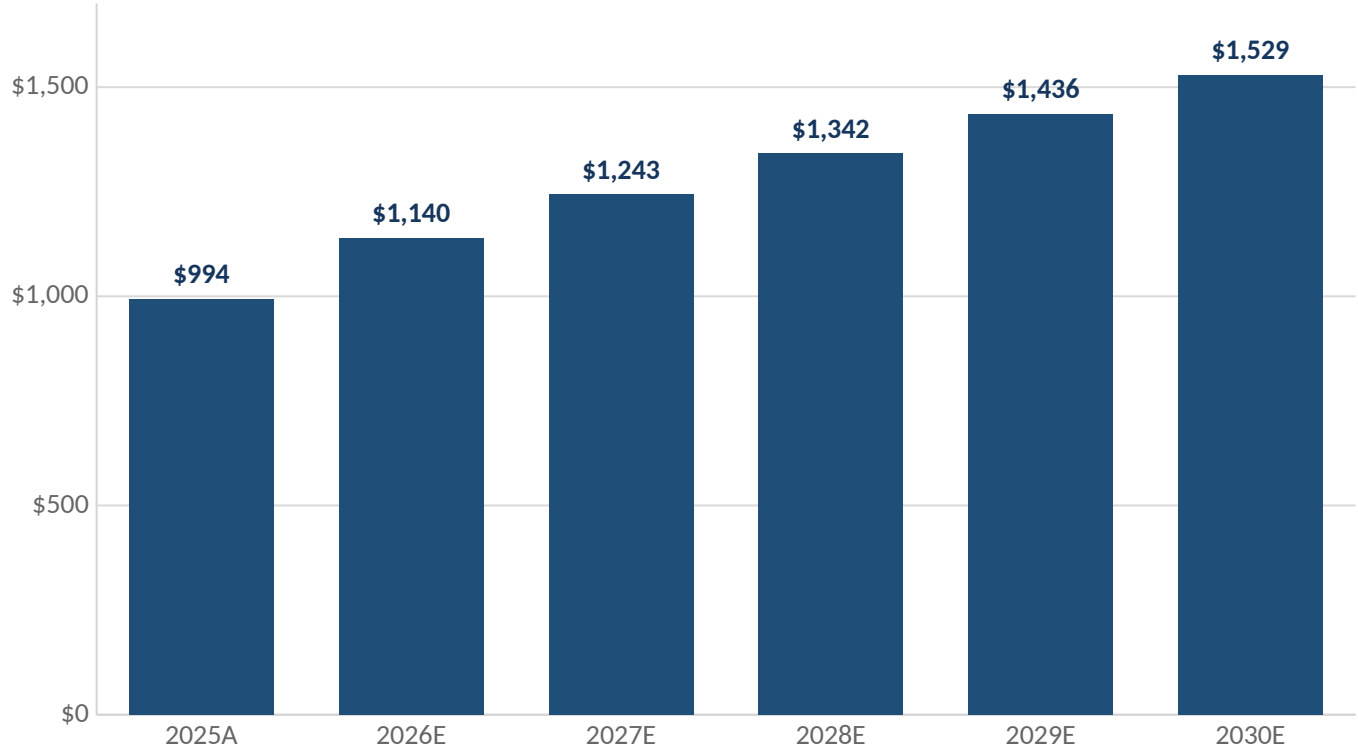
- Add machine-vision sensors, algorithms, and identification tools to Rockwell's control and software ecosystem.
- Use Rockwell's installed base and global channels to expand Cognex customer access.
- Connect visual inspection data with automation, analytics, and production workflows.
- Increase exposure to structurally attractive automation and quality-control applications.

Key execution tension

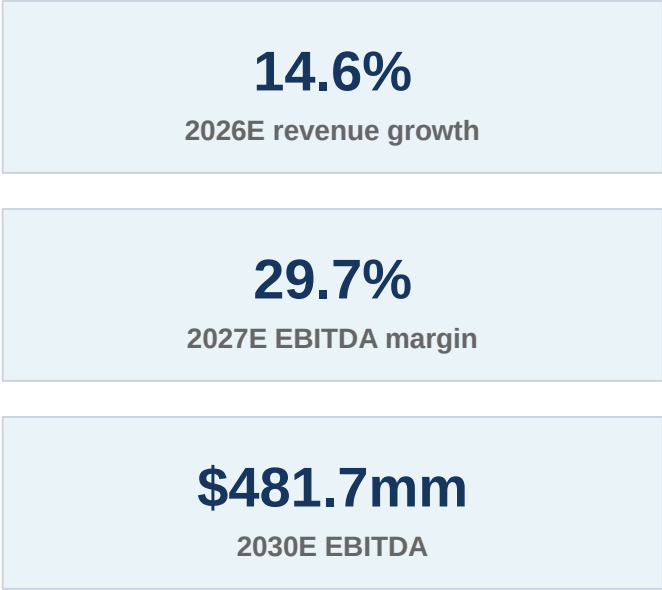
- Product overlap could blur positioning and create channel conflict.
- Aggressive R&D or commercial cost cuts could damage the technology being acquired.
- Revenue synergies depend on customer adoption and sales-force execution.
- Specialized engineering and commercial talent must be retained.

Investment implication: strategic logic alone does not establish the price Rockwell should pay.

Cognex combines renewed growth with expanding margins



Forecast operating profile



Base forecast assumes growth normalizes while SG&A leverage supports margin expansion.

The \$80 offer sits above most standalone valuation methods

Method	Low	Midpoint	High
DCF	\$22.95	\$25.79	\$29.77
Trading - EV / Revenue	\$34.75	\$39.79	\$50.94
Trading - EV / EBITDA	\$39.21	\$43.14	\$51.37
Trading - P / E	\$49.89	\$54.28	\$58.74
Precedent - Premium Paid	\$80.49	\$84.52	\$86.31
Unaffected price	\$59.73	\$59.73	\$59.73

\$40 - \$55

Selected standalone range

\$75 - \$85

Illustrative offer range

33.9%

Premium at \$80

Premium-paid precedents support a control-price discussion, but should not be layered mechanically on top of standalone value and full synergies.

Stock consideration limits leverage but creates dilution

\$13.46bn

Equity purchase price

\$12.70bn

Transaction EV

30% / 70%

Cash / stock mix

\$4.0bn

New debt

Metric	Illustrative result	Interpretation
New Rockwell shares	21.835mm	Target holders receive combined-company participation
Target-holder ownership	16.3%	Meaningful denominator increase for EPS
Gross leverage	2.93x	Slightly below the model's 3.0x ceiling
Net leverage	2.56x	Includes acquired Cognex cash
Interest coverage	6.87x	Before transaction synergies

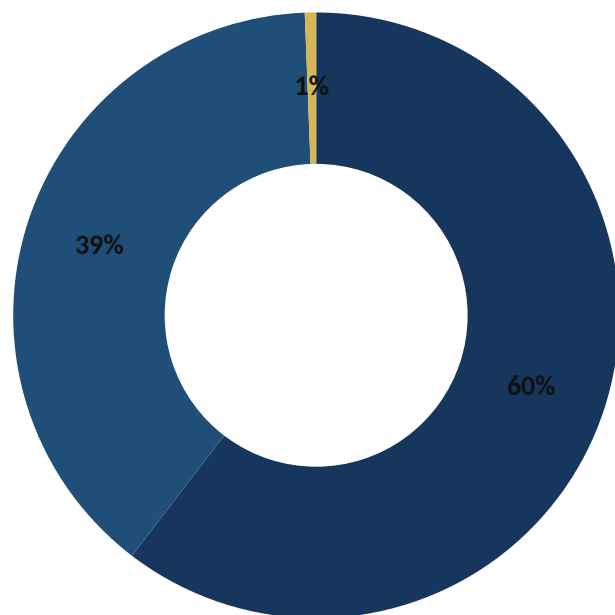
Sources and uses balance with \$212 million of Rockwell cash

Uses	\$mm	Sources	\$mm
Cash consideration	4,037.4	Rockwell cash	212.0
Stock consideration	9,420.5	Term loan / bridge	2,000.0
Transaction fees	134.6	Senior notes	2,000.0
Debt financing fees	40.0	Rockwell equity issued	9,420.5
Total	13,632.5	Total	13,632.5

Financing rationale

A large stock component protects liquidity and leverage, but creates persistent share-count dilution. Financing form changes who bears the risk; it does not reduce the price paid.

Purchase accounting creates substantial goodwill



■ Purchase consideration

\$8.13bn

New goodwill

60.4%

Goodwill / consideration

\$596.3mm

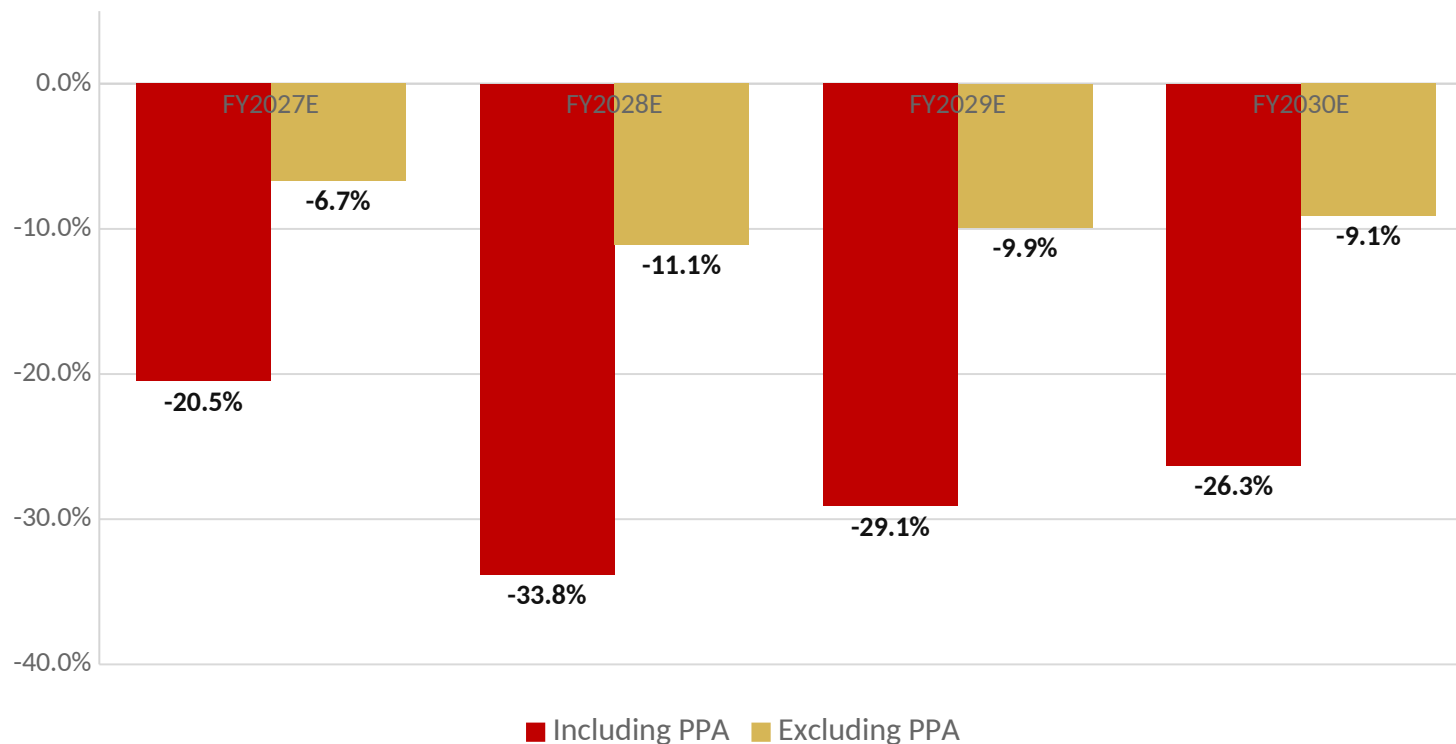
Annual PPA expense

\$235.5mm

FY2027 after-tax PPA

- Goodwill is not amortized, but remains subject to impairment testing.
- Finite-lived customer and technology assets create substantial amortization.
- The allocation is illustrative and would require specialist valuation work.

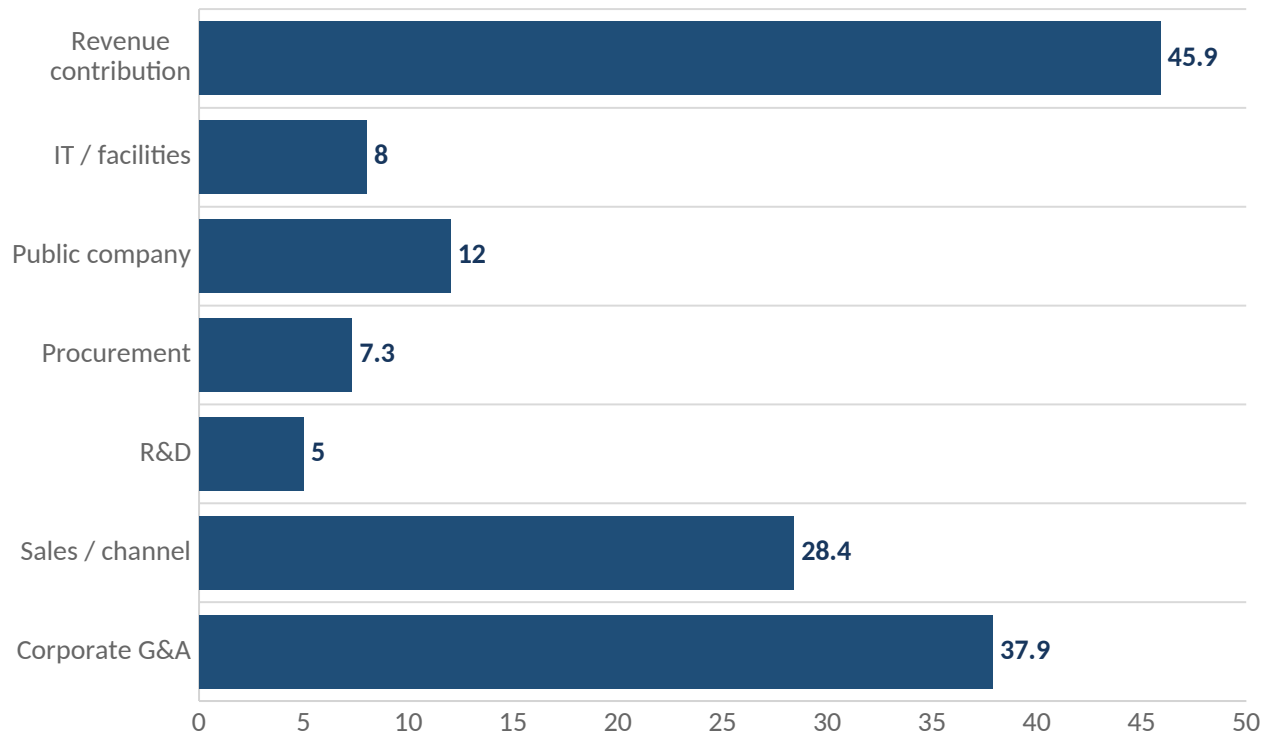
The transaction remains dilutive before synergies



Why dilution persists

- Cognex earnings do not offset the new shares issued.
- \$4.0bn of acquisition debt creates an after-tax financing burden.
- PPA amortization worsens EPS including PPA but does not explain all dilution.
- The \$80 price is high relative to target earnings.

\$144 million of synergies does not repair the transaction



\$98.6mm

Cost synergy run-rate

\$45.9mm

Revenue operating contribution

\$147.9mm

Total integration costs

58.9%

FY2030 breakeven coverage

Only the best tested case reaches marginal accretion

Offer / synergy	50%	75%	100%	125%	150%
\$76	(5.3%)	(4.0%)	(2.6%)	(1.3%)	0.1%
\$78	(5.9%)	(4.5%)	(3.2%)	(1.8%)	(0.5%)
\$80	(6.4%)	(5.1%)	(3.7%)	(2.4%)	(1.1%)
\$82	(7.0%)	(5.6%)	(4.3%)	(3.0%)	(1.6%)
\$84	(7.5%)	(6.2%)	(4.9%)	(3.5%)	(2.2%)

Decision implications

- Base case: 3.7% adjusted dilution.
- Best tested case: 0.1% accretion at \$76 and 150% synergies.
- Financing optimization helps but does not make the base offer accretive.
- Price discipline remains the strongest controllable lever.

Overpayment and synergy execution are the central risks

Priority risk	Assessment	Required diligence
Valuation / overpayment	High / High	Set walk-away price; separate base and upside synergies
Persistent dilution	High / High	Test structure, financing, and long-term value creation
Revenue synergies	Med-high / High	Named accounts, pipeline evidence, channel conflict
Technology integration	Medium / High	Roadmap, interoperability, engineering retention
Talent / culture	Med-high / High	Retention packages and operating-model governance
Goodwill impairment	Medium / Med-high	Reporting-unit cash flows and impairment headroom

Recommendation standard: strategic benefits must be supported by customer-level, product-level, and function-level diligence - not by a top-down synergy plug.

Rockwell should preserve price discipline

Base recommendation

Do not recommend the \$80 offer solely on the current financial case

Conditions that could support proceeding

- A materially lower negotiated purchase price.
- Customer-backed evidence supporting revenue synergies.
- Integration plans that protect product innovation and key talent.
- Board acceptance of near-term dilution for defensible long-term strategic value.

What the analysis demonstrates

- Standalone valuation and offer-price framing.
- Sources and uses, financing, and purchase accounting.
- Accretion/dilution and breakeven synergies.
- Bottom-up synergy underwriting, sensitivities, and transaction risks.